Candidate Number……....

THE PRESIDENT'S OFFICE – RALG

NYANZA ADVENTIST SECONDARY SCHOOL

FORM FOUR PRE-MOCK 1 EXAMINATION

062 **BOOK KEEPING**

TIME: 2:30 Hours **April: 2025**

Instructions

1. This paper consists of three sections **A, B** and C with a total of **nine (9)** questions.
2. Answer all questions in section **A** and **B** and **C**.
3. Section **A** carries fifteen (15) marks, section **B** carries (40) marks and section **C** forty five (45) marks.
4. Non programmable calculators may be used.
5. Cellular phones and other authorized materials are not allowed in the examination room.
6. Write your examination number on every page of your Answer booklet(s)

FOR ASSESSOR'S ONLY		
QUESTION NUMBER	**SCORE**	**MARKER'S INITIALS**
1		
2		
3		
4		
5		
6		
7		
8		
9		
TOTAL		
CHEKER'S INITIALS		

1. For each of the following questions choose the most correct answer from among the given alternatives and write its letter in the box provided:-

i. If the opening capital was Tsh. 16,500 closing capital Tsh 11,350 and drawings were Tshs 3,300
   A. The profit for the year was Tshs 3,300
   B. The progit of the year was Tshs 8, 450
   C. the loss for the year was Tshs 8,450
   D. The loss for the year was Tshs 1,850

ii. When a customer returns goods previously sold to him, the shopkeeper will issue a document called
   A. Order note
   B. Debit note
   C. Credit note
   D. Invoice

iii. Posting in book-keeping means …….
   A. Making the first entry of double entry transactions
   B. Entering items in cashbooks
   C. Making entries in different books
   D. Recording the entries in cash account
   E. Making the second entry of double entry transactions

iv. When the monthly bank statement is sent out which one of the following would not appear?
   A. Uncredited cheque
   B. Bank charges
   C. A dishonoured cheque
   D. Standing order
   E. Dividends

v. Cost of building warehouse would be classified as :
   A Capital receipt
   B Revenue expenditure
   C Revenue receipts
   D Recurrent expenditure
   E Capital expenditure .

vi. If it is required to maintain fixed capital accounts then the partners' share of profits must be..
   A. Debited to partners' capital account
   B. Credited to partners' drawings account
   C. Debited to partners' current account
   D. Credit to partners' current account
   E. Credited to partners' capital account

vii. Statement containing particulars of the consignment is known as
   A. Balance sheet.
   B. Final account.
   C. Account sales
   D. Consignment outwards.
   E. Profit and loss account

viii. Which of the following statements describe the characteristics of joint venture?
   A. Equal sharing of profits and loss

B. It is an association of partnership groups
C. It is a permanent association
D. It is a temporary partnership that ceases at the end of agreed venture period
E. It is an association of partnership groups

ix. How can a book keeper use a trial balance ?
A. To list all liabilities of the business at the trial balance date
B. To prove that the debit column amount is equal to the credit column amount
C. To check the arithmetical accuracy of double entry records in the ledger
D. To disclose all asset of the business at the trial balance
E. To disclose the financial position of the business at the year ended.

x. Which account should partners' prepare in order to share the profits and losses resulting from partnership business?
A. Profit and loss account.
B. Current accounts
C. Capital account.
D. Profit and loss appropriation account
E. Partners' subscription account.

i	ii	iii	iv	v	vi	vii	viii	ix	x

2. Match the following accounting concept in column A with the responses of their correct in column B by writing the letter of the correct responses bellow with the corresponding item number in the answer booklet(s) provided .

i. The concept state that a business firm will continue to carry on its activities for unforeseeable of time	A Matching concept
ii. Only transaction which can be expressed in terms of money are recorded in the books of account .	B Revenue concept
iii. The owners affairs and his or her business must be separated	C Going concern concept
iv. All assets are recorded in the books of account at their purchases price .	D Prudence concept
v. The revenues and expenses must be compared to determine the profit or loss made by the business	E Historical cost concept
	F Dual concept
	G Accounting concept
	H Money measurement concept
	I Business entity concept

i.	ii.	iii.	iv.	v.

SECTION B

Answer all questions from this section

3. Briefly explain the following terms as used in book keeping.
   (a) Carriage outward
   (b) Bank reconciliation statement
   (c) Book keeping errors
   (d) Suspense account
   (e) Imprest system
4. The following information is provided to you by Yanga sports club regarding subscriptions.

On 31st December 2006 Tsh

Subscription accrued.	41,000
Subscription received in advance.	28,000
On 31st December 2007	
Subscription accrued	37,800
Subscription received in advance.	32,800
Subscription received during the year 2007.	771,000

Required:- Draw up the subscriptions accounts for the club for the year

5. Analyze each of the following transactions by identifying the accounts affected by each of them
   A. Debtor " Mussa" pay us by cheque
   B. Withdrew cash from bank for office use
   C. Sold goods for cash
   D. Goods returned by us to Massy
   E. Musa started his business with cash at bank.

6. Mr sudi always keeping his money to NMB wonderful enough a certain day he deciding to know how much has he saving so as to starting planed business. But unfortunately the amount expected by Mr sudi to be seen in his account was quietly differ. As expert of book keeping just tell him the reason for Balance of money to be different.

SECTION C

Answer all questions from this section

7. A trial balance of Musa extracted on 31st December 2020 failed to agree by having a debit balance of shs 50000 and credit balance 33500. A suspense account was opened by the difference. On January 2021 the following errors made in 2020 were found;
   i. Sales day book has been Under casted by TZS 5000
   ii. Sales of TZS 12500 to Jean had been debited in error to Joan account
   iii. Rent account had been under summed by 3500
   iv. Discount allowed account had been over casted by 15000
   v. The sales of motor van at book value had been credited in error to sales account TZS 18000

   Required:
   i. Journal entries to correct the above errors
   ii. A suspense account

8. From the following list of balances you are required to prepare a departmental income statement for the year ending 31 March 2011, in respect of the business carried on under the name jack's superstores:

			TZS.	TZS
Rent and business rates.				9,300
Delivery expenses.				3,600
Commission.				10,000
Insurance.				1,800
Purchases:.	Dept	A	101,300	
		B	81,200	
		C	62,900	245,400
Discount received.				2,450

Salaries and wages.				91,200
Advertising.				2,307
Sales:.	Dept	A	180,000	
		B	138,000	
		C	82,000	400,000
Depreciation.				4,200
Opening inventory:.	Dept	A	27,100	
		B	21,410	
		C	17,060	65,570
Administration and general expenses				19,800
Closing inventory:.		A	23,590	
		B	15,360	
		C	18,200	57,150

Except the follows, expenses are to be apportioned equally between the departments.

Delivery expenses – proportional to sales.

Commission 2.5 per cent of sales.

Salaries and wages ; insurance - in the proportion of 3 : 2 : 1.

Discount received - 1 per cent of purchases.

9. Mziwanda and Mwerevu agreed to enter into joint venture to buy and sell speed boats. Profit and losses were to be shared in the ratio of 2:1 respectively.
On2nd May2018 Mziwanda purchased three speed boats for TZS 600,000, TZS700,000 and TZS 900,000 respectively. He bought a reconditioned engine costing TZS 400,000 which he installed in one of the boats, the old engine being scraped. On 31st May 2018 he sold two of the speed boats for TZS 600,000 each, depositing the proceeds in his own bank account.On12th June2018 he sold the third boat for TZS 1,600,000 which he paid over to Mwerevu who deposited it into his personal bank account.

   On 3rd May 2018 Mwerevu purchased a speed boat for TZS 700,000 and having incurred expenditure of TZS 50,000 on repainting the boat, he sold it on the 8th May2018 for TZS 800,000 depositing the proceeds into his personal bank account. This boat developed mechanical problems and on 28th May 2018 Mwerevu agreed to take back the boat at an agreed price ofTZS750,000 which he paid out of his bank account. The boat was still unsold until 30th June 2018 and it was agreed that Mwerevu should take it over for his personal use at a valuation of 700,000. Other costs incurred were as follows:

	Mziwanda	Mwerevu
Harbor dues	100,000	300,000
Marine insurance	200,000	600,000

   Mziwanda paid into his bank account net receipts of TZS 200,000 in respect of speed boat trips.On1stJuly2018 the sum required infull settlement as between Mziwanda and Mwerevu was paid by the party accountable.
   Using the information provided, prepare:
   (a) Joint Venture Accounts in the books of Mziwanda and Mwerevu respectively.
   (b) Memorandum Joint Venture Account